Moreover, the Doklam standoff in 2017 might have underscored to China the importance of enhancing its military position in the border region.[114]

Chinese balancing strategies

India's new prominence in China's grand strategy informs its policies towards India and its neighbourhood. The resources Chinese authorities are willing to channel to BRI projects is leading to a significant increase in China's footprint in India's neighbourhood. China's position as economic partner to India's neigh-bours has now moved beyond that of "serving as an antithesis to Indian pressure" to be a leading economic partner.[115] The figures in Table 2.2 clearly illustrate this trend, with China being a larger trading partner than India for Bangladesh, Maldives, and Myanmar and China's trade with Sri Lanka at almost the same size as India's. China is in addition offering these countries grants and other financial packages that India cannot compete with.[116] In October 2019, ahead of his visit to Nepal, the first of a Chinese state leader in two decades, Xi Jinping stated in an op-ed in Nepali newspapers that Nepal as an active participant in Belt and Road cooperation is working with China on a number of infrastructure projects to build or upgrade highways, ports, airports, and power plants and referred to a trans-Himalayan connectivity network taking shape that will serve not just China and Nepal but also the region as a whole.[117] However, of all the infrastructure projects linked to the BRI, the China–Pakistan Economic Corridor (CPEC) is the most ambitious, illustrating China's lasting support to Pakistan.

If we, on top of China's economic cooperation, add China's arms transfers to countries in the region (see Table 2.3), we find that Beijing has a particular strong link with Bangladesh and Myanmar, in addition to with Pakistan. In the 2010–18 period, China accounted for 72 percent of total arms exports